

Bank of Leeds Growth Capital Proposal

York Gin International Expansion Programme

Five-Year Investment Case: Building Yorkshire's First Global Premium Spirits Brand

Investment Committee Paper

Proposed Investment: £10 million growth facility

Company: York Gin Ltd

Investor: Bank of Leeds

Sector: Premium spirits, manufacturing, tourism, export growth

Investment Horizon: 5 years

Executive Investment Summary

Investment Recommendation

Bank of Leeds should provide a **£10 million strategic growth package** to York Gin to accelerate the company from a successful regional craft distillery into a globally recognised Yorkshire premium spirits company.

The investment will fund:

- a new high-capacity distillery,
- automated bottling and production,
- export expansion into the United States,
- national retail expansion,
- large-scale brand advertising,
- tourism infrastructure,
- working capital.

The objective:

Build York Gin into a £30 million annual revenue business within five years.

Investment Thesis

York Gin has three significant strategic advantages:

1. Location Advantage

York is one of Britain's strongest tourism brands:

- 8+ million annual visitors to York region
- internationally recognised medieval heritage
- strong association with England

The brand has natural export appeal.

2. Premium Spirits Market Growth

Consumers increasingly purchase:

- premium gin,
- local provenance products,
- craft spirits,
- gifting products.

York Gin is positioned similarly to:

- Scottish whisky brands,
 - English wine estates,
 - regional luxury food producers.
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3. Underdeveloped Manufacturing Scale

The current limitation is not demand.

The limitation is:

- production capacity,
- export capability,
- marketing investment.

Capital expenditure creates the ability to scale.

Proposed Investment Structure

Total Bank of Leeds Investment

£10 million

Category	Investment
New distillery facility	£4.0m

Category	Investment
Production equipment	£1.5m
US expansion	£1.5m
Marketing campaign	£2.0m
Working capital	£1.0m
Total	£10m

1. New York Gin Manufacturing Facility

Objective

Create a Yorkshire premium spirits production centre capable of producing:

1 million bottles annually

Current craft production:

~100,000 bottles/year

New capacity:

10× increase

Facility Specification

Location:

Yorkshire/York industrial zone

Size:

25,000 sq ft

Includes:

- copper still room
 - automated bottling plant
 - warehouse
 - visitor centre
 - tasting rooms
 - event space
 - corporate hospitality area
-

Capital Expenditure

Building

Leasehold conversion:

£1.5m

Distillation Equipment

Equipment	Cost
3 × premium copper stills	£750k
Fermentation tanks	£250k
Storage tanks	£250k
Automated bottling line	£750k
Packaging machinery	£250k
Laboratory	£150k
Equipment total:	
£2.4m	

Visitor Centre

Item	Cost
Tasting rooms	£350k
Retail shop	£250k
Event space	£300k
£900k	

Total Facility Investment

£4 million

2. Manufacturing Cost Reduction

Current Production Model

Estimated cost per bottle:

Cost	Current
Botanicals	£2.20
Glass/bottle	£2.50
Labour	£3.50
Packaging	£1.50
Overheads	£2.80
Distribution	£1.50
Total:	

£14 per bottle

Scaled Production Model

After investment:

Cost	New
Botanicals	£2
Bottle	£2
Labour	£1
Packaging	£1
Overheads	£1
Distribution	£1
Total:	

£8 per bottle

Cost Saving

£14 → £8

Saving:

£6 per bottle

At 750,000 bottles:

Annual manufacturing saving:

$750,000 \times £6$

=

£4.5 million improvement

3. Five-Year Sales Expansion Plan

Production Targets

Year	Bottles Sold
Year 1	250,000
Year 2	400,000
Year 3	600,000
Year 4	850,000
Year 5	1,200,000

Revenue Assumptions

Average blended revenue:

£22 per bottle

Includes:

- retail
 - export
 - hospitality
 - direct sales
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Revenue Forecast

Year	Bottles	Revenue
Year 1	250k	£5.5m
Year 2	400k	£8.8m
Year 3	600k	£13.2m
Year 4	850k	£18.7m
Year 5	1.2m	£26.4m

Additional Revenue Streams

Distillery Tourism

New visitor centre:

Target:

100,000 visitors annually

Average spend:

£35

Revenue:

£3.5m/year

Includes:

- tours
 - tastings
 - cocktails
 - merchandise
 - gifts
-

Corporate Events

Target:

150 events/year

Average:

£3,000

Revenue:

£450k

Total Year 5 Revenue

Source	Revenue
Bottle sales	£26.4m
Visitor centre	£3.5m
Events	£0.45m

Total:

£30.35 million

4. US Export Expansion

Market Opportunity

The United States represents one of the world's largest premium alcohol markets.

York Gin positioning:

"England's historic city distilled into a premium gin."

US Investment

£1.5 million over three years.

Allocation:

Area	Cost
Distributor partnerships	£400k
Trade shows	£300k
PR agency	£300k
Digital advertising	£300k
Sampling	£200k

US Sales Forecast

Year	US Bottles
Year 1	25,000
Year 2	75,000
Year 3	150,000
Year 4	250,000
Year 5	400,000

US Revenue Year 5

400,000 bottles × £25 wholesale

=

£10 million

5. Marketing Investment Programme

£2 million brand campaign

Objective:

Move York Gin from:

"York tourist gift"

to:

"International premium English gin."

Campaign

"Distilled in England's Historic Capital"

Target markets:

- USA
 - Canada
 - Australia
 - UK luxury consumers
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Budget:

Activity	Cost
Digital advertising	£700k
Influencers	£250k
PR	£350k
Events	£300k
Creative	£250k
Retail campaigns	£150k

6. Five-Year Profit Model

Gross Margin

Post investment:

Average bottle selling price:

£22

Cost:

£8

Gross profit:

£14

Gross margin:

64%

EBITDA Forecast

Year	Revenue	EBITDA
Year 1	£5.5m	£0.5m
Year 2	£8.8m	£1.5m
Year 3	£13.2m	£3m
Year 4	£18.7m	£5m
Year 5	£30.3m	£8m

7. Bank of Leeds Investment Return

Proposed Structure

Loan Facility

£7 million

Interest:

8%

Annual interest:

£560k

Growth Equity

£3 million

Equity:

20%

Company Valuation Year 5

Premium spirits companies typically valued:

3–5× revenue

or

8–12× EBITDA.

Using EBITDA:

£8m × 10

=

£80 million valuation

Bank equity:

20%

=

£16 million value

Loan repayment:

£7 million

Potential total return:

£23 million+

8. Yorkshire Economic Impact

Employment

Direct:

Area	Jobs
Production	30
Hospitality	40
Sales/export	20
Administration	10

Total:

100 new jobs

Indirect:

- farmers
- packaging companies
- logistics
- tourism
- hospitality

Estimated:

250+ regional jobs supported.

9. Strategic Importance for Bank of Leeds

This investment positions Bank of Leeds as:

The financial institution that turns Yorkshire businesses into global brands.

Comparable regional transformations:

- Scotch whisky → Scotland
- Champagne → Champagne region
- Guinness → Ireland

York Gin opportunity:

"Yorkshire's global spirit."

Final Investment Recommendation

Approve:

£10 million York Gin Growth Facility

Expected outcome:

Within five years:

- £30m annual revenue
- 1.2 million bottles sold
- £8m EBITDA
- £80m company valuation
- US export presence
- 100 direct jobs

The investment converts York Gin from a successful local craft producer into:

A globally recognised premium English spirits company representing Yorkshire on the world stage.